

The next day, after a hectic morning of phone calls and emails, Jen escapes for lunch a little early. Arriving at the café before her friends do, she browses through the games section on her phone. She sees that her college favourite, Snood, has just been added to the content list. Selecting the “download” link, Jen triggers the game content server to download the Snood executable to her phone. At the end of the month, the fee (\$4.95) will appear on her standard monthly mobile statement. By downloading and playing Snood on her phone, Jen has joined the ranks of the 7 million people in the US who IDC estimates played a mobile videogame in 2002. The US market researcher estimates that by 2007, there will be more than 112.4 million US-based mobile gamers. Jen’s gaming break is interrupted by Tobias, who sits down at the café table simultaneously waving hello and nodding his head. His earpiece falls out and Jen hears the tinny but unmistakable sound of “Clocks” emanating from it. “When did you get that new phone?” she asks. “Yesterday” says Tobias. “Your song is, like, on every station.” Tobias’ new handset has a built-in FM receiver, so he listens to music on it rather than on his old portable radio. This feature is becoming more and more popular, with handsets from Siemens, Nokia, Sony Ericsson and many other manufacturers all supporting integrated radios. The three previously mentioned products, and many more like them, make up the broad category of mobile entertainment. It’s an industry that is expected to grow from 1.5 billion in 2001 to 15.4 billion in 2005. But how will it grow? And how will it be configured five to seven years from now? After a period of intense competition, innovation and consolidation, one of four scenarios will most likely emerge as the defining model for mobile entertainment. These four scenarios are: Mobile Operators Dominate, Mobile Device Manufacturers Dominate, Content Producers Dominate, or The Software Environment dominates.

This paper does not speculate on which scenario is most likely to emerge. Instead, after an examination of the current state of the mobile entertainment industry, the paper presents the opportunities and the risks for industry participants associated with each scenario.